SECTION 1 (50 marks) - Undersea

Question 1:

Evaluate each subsequent event, concluding whether it would be an adjusting or non-adjusting event.

Evaluation	Conclusion
RCF renewal The RCF renewal was signed on 12 April 2025, after year end but before issuance of the financial statements. This provides clarification on a pre-year end event and therefore would be considered an adjusting event. However, as management had already assessed the likelihood of the RCF renewal to be very high, there is no impact on the financial statements on management's going concern assessment.	Non-Adjusting event
Customer liquidation The amount owed by the customer is immaterial.	This is an adjusting event, however the value of the increase in provision of £107,500 is below the trivial threshold, and therefore no adjustment is required.

Diesel spillage The diesel spillage occurred on 16 January 2025 prior to year end and was a breach of regulations. This was therefore a condition that existed as at year end. The fine levied by the regulator of £6.5m is an adjusting event and therefore management should adjust the provision recorded of £1.5m and increase it to £6.5m.	Adjusting event
Employee claims The obligation towards the former employees existed as at year end and the amount awarded post year end gives a more accurate basis for measuring the liability. The additional amount arising from the court ruling of £4.1m is material and the financial statements should be corrected to reflect the amount per court ruling.	Adjusting event
New vessel litigation The litigation received is in connection with a matter which management has not included to account for in the financial statements, despite multiple expert opinions.	Adjusting event

Question 2:

Advise what, if any, additional audit evidence would be required for any of the material subsequent events.

RCF renewal

- Obtain the signed copy of the RCF facility letter to confirm it is signed by the relevant parties and dated before issuance of the financial statements.
- Review management's going concern assessment to verify if the RCF is sufficient to support management's growth plans, and whether the RCF is critical for the continued operation of the business.

Diesel spillage

- Inspect the disclosures in the financial statements and confirm they are in agreement with the official correspondence related to the matter.
- Inspect the correspondence from the regulator and confirm the provision is correctly recognised in the financial statements.

Employee claims

- Inspect the court ruling and confirm that the provision recognised in the financial statements is in line with the court ruling.
- Inspect the court ruling and ensure the ruling is in line with financial statements disclosures.

New vessel litigation

- Inspect the correspondence from Undersea’s independent advisers and confirm that they support the shipbuilder’s position that the DSV met the specifications set out in the ship purchase agreement, and therefore management have an obligation towards the vessel owner.
- Perform an assessment of the competence and experience of Undersea’s lawyers and the ship building expert.

Question 3:

For each material subsequent event:

a) **analyse the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily; and**

b) **recommend the appropriate type of audit opinion to be issued.**

Matter	**a) analyse the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily**	**b) recommend the appropriate type of audit opinion to be issued**
RCF renewal	The ability of Undersea to continue as a going concern and execute its strategy is dependent on the facility being in place. This has already been appropriately disclosed prior to the audit commencing. The RCF is material in relation to management's going concern assumption **,** and going concern is a pervasive matter.	In the event the auditor cannot obtain sufficient additional evidence on the renewal of the RCF facility, due to the materiality and pervasiveness of the matter, they should issue a disclaimer of opinion

Diesel spillage	Failure to obtain sufficient evidence to support management's assertion could be an indication of a material misstatement. The matter is quantitatively material as the additional provision required of £5m is greater than £3.5m audit materiality. This represents 13% of profit before tax and is therefore not pervasive.	A modified audit report with a qualified 'except for' opinion would be issued
Employee claims	The additional £4.1m provision required is material. However, given that this is 11% of profit before tax then this is unlikely to be pervasive. The failure to adjust the financial statements could be an indication of a material misstatement.	A modified audit report with a qualified 'except for' opinion would be issued

New vessel litigation	As the rejection of the DSV occurred pre-year end, the conditions of an adjusting event did exist at that time, as the likelihood of a liability arising was considered to be highly likely. This was evidenced by the independent expert opinions. This adjustment would require inclusion in the financial statements as a provision as the event meets the criteria of IAS37. The counter claim from the ship builder is material at £160m. This amount is 89% of Undersea's net assets at year end and this is therefore considered pervasive as it could impact their liquidity and ability to continue as a going concern. Therefore, not including this in the financial statements is a material misstatement.	If management continue to refuse to make the necessary adjustments, the auditor should issue an adverse opinion due to the material and pervasiveness of the issue.

SECTION 2 (40 Marks)

	Question 4:	**Question 5:**	**Question 6:**
Control ref.	**Identify the key payroll controls at Gino Positano which are designed effectively to prevent or detect and correct misstatements in the payroll systems.**	**Evaluate why each control would be classified as a key control for the purpose of the external audit.**	**Design test of controls to confirm the operating effectiveness of each identified key control.**
PAY1	The HR manager ensures that all new employees sign and return their employment contract and induction training pack prior to their employment start date, and that leavers have submitted a letter of resignation. These are filed in the ERP system, in the employee module.	The control assures that all employees have agreed the terms and conditions of their employment around remuneration, start and end dates (where applicable).	Inspect a sample of employees' records and confirm there is a signed copy of the employment contract and induction pack dated prior to their employment start date and, where applicable, a letter of resignation.
PAY2	The key inputs for each employee are reviewed, agreed to source documentation, and approved by the payroll manager monthly, prior to payroll being processed.	The control assures that the information used to calculate employee costs are accurate.	Inspect a sample of employees' records and confirm that the status of their key inputs in the system is "approved" meaning that payroll manager review have been completed and signed off.

PAY3	The new joiners and leavers report is used to review the payroll calculations to ensure that new joiners are correctly included, and leavers removed from the payroll calculation after all employee termination benefits are processed.	The control assures that the payroll calculation includes and excludes employees as appropriate, and employees are paid for the period they have been employed (i.e. the correct start date and termination date are applied when performing the payroll calculation).	Inspect a sample of payroll calculations and confirm that the payroll manager and finance director have signed them off, and that these reviews were completed prior to the relevant pay run being processed.
PAY4	Time-in-lieu accruals for salaried employees require supervisor approval.	The control assures that only valid overtime hours are accrued for the purposes of time-in-lieu entitlements and reduces the risk of overstated leave accruals.	Inspect a sample of time-in-lieu accruals and obtain evidence of supervisor approval within the timesheet system.

PAY5	Manual timesheet adjustments are reviewed and approved by the payroll manager prior to processing the casual employees' payroll who ensures that appropriate documentation is attached by the respective store manager.	The control assures that only valid work hours are paid to casual employees and minimises the risk of false payroll claims.	Select a sample of manual timesheet adjustments and inspect for evidence of review by the payroll manager. Request a copy of the supporting documentation uploaded by the store manager for the selected entry and ensure that the evidence provided supports the adjustment made.
PAY6	Automatically calculated payroll is processed by the payroll manager and reviewed and approved by the finance director before processing in the general ledger.	The control assures that the costs automatically calculated by system are accurate before being processed in the general ledger.	For a sample of payroll reports inspect for evidence of review and approval by the finance director ensuring any issues are resolved before processing in the general ledger.

PAY7	The financial analyst reconciles the balance sheet payroll-related accruals monthly to ensure they agree to the payroll summary from the payroll system showing deductions for PAYE, pensions etc. Any unusual differences are investigated.	Reconciliations on payroll-related accounts assures that any unusual or unexpected expenses are identified to detect if the wrong costs are being recognised.	For a sample of months inspect the reconciliation and confirm it has been completed by the analyst in a timely manner, and all reconciling items have been investigated and resolved.
PAY8	The reconciliations performed by the financial analyst are approved by the finance manager with a signature providing evidence of the review.	The control assures that the reconciliation has been performed properly and helps to identify if incorrect payroll costs have been recorded.	For a sample of reconciliations inspect to confirm they have been approved by the finance manager.

SECTION 3 (30 marks)

Question 7:

Evaluate the Marguerite Enterprises plc engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

Marguerite Enterprises plc

As the non-audit services fee for the year is proposed at £675,000, this represents 75% of the average of the total fees received for the audit over the last three years , which could be perceived to result in a dependence on non-audit service fees. This may result in a self-interest threat, as well as an intimidation threat.

A self-interest threat may arise when auditors have financial or other interests which may cause them to be, or perceived to be, reluctant to take actions that would be adverse to the interests of the audit firm. In this situation there is a self-interest threat to the audit firm issuing an inappropriate audit opinion to ensure the continued revenue from non-audit services.

An intimidation threat arises when the auditor's conduct is influenced by fear or threat, such as the threat of replacement as auditor. In this situation there is an intimidation threat from the finance director stating that Marguerite may seek to replace King and Barker as the provider of the non-audit services if the audit team do not provide an unmodified audit opinion.

As the client is a public interest entity an appropriate safeguard for the audit firm in this situation is to ensure that the total fees for non-audit services is capped at 70% of the average of the audit fees paid over the last three years.

Question 8:

Evaluate the Brightfield Views Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

Brightfield Views plc

The audit team cannot decide on the appropriate course of action in regards to the internal audit recommendations as this is a management decision. This may lead to a management threat. A management threat arises when the audit firm undertakes work that involves making judgements that are the responsibility of management, as this may result in the independence and objectivity of the auditor being impaired.

As there are no acceptable safeguards for prohibited non-audit services in relation to the implementation of internal controls, King and Barker should reject advising Brightfield on the implementation of the internal audit recommendations.

If King and Barker were to provide payroll services to the audit client, this may result in a self-review threat, as the payroll costs will be subject to audit, and the audit team may be reluctant to challenge the payroll figures in the financial statements. A self-review threat arises when the results of a non-audit service performed by others within the firm are reflected in the amounts included in the financial statements.

An appropriate safeguard in this situation would be to have a separate team from King and Barker perform the non-audit service **(**and ensure that there are ethical walls between the two teams to ensure independence for the audit team.

Question 9:

Evaluate the Seaweed Green Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

Seaweed Green Ltd

As the audit client is not a public interest entity, the audit partner can be on the engagement for up to ten years. After ten years, there is considered to be a long association with the engagement, which may result in a familiarity threat. A familiarity threat occurs when the auditor is insufficiently questioning of the client's point of view due to this long association and may result in an impairment of their professional scepticism.

The audit partner should be rotated off of the audit engagement in order to maintain independence.

The audit partner has been invited to join a joint venture with the audit client. As this joint venture is not immaterial to the audit partner, this may result in an advocacy threat. An advocacy threat arises when an audit staff adopts, or is perceived to adopt, a position closely aligned to that of management, such as would be required in a joint venture situation. In this situation, there is a risk of the audit partner being seen to promote the interests of Seaweed Green Ltd in order to not jeopardise the joint venture and the audit partner's investment, and therefore that the auditor will be biased in favour of the client.

As this joint venture is not immaterial to the audit partner, there is no appropriate safeguard that can be put into place for this situation. Therefore, the audit partner will be required to reject the business relationship proposal.

END OF SOLUTION